A TRADING RESEARCH PROJECT

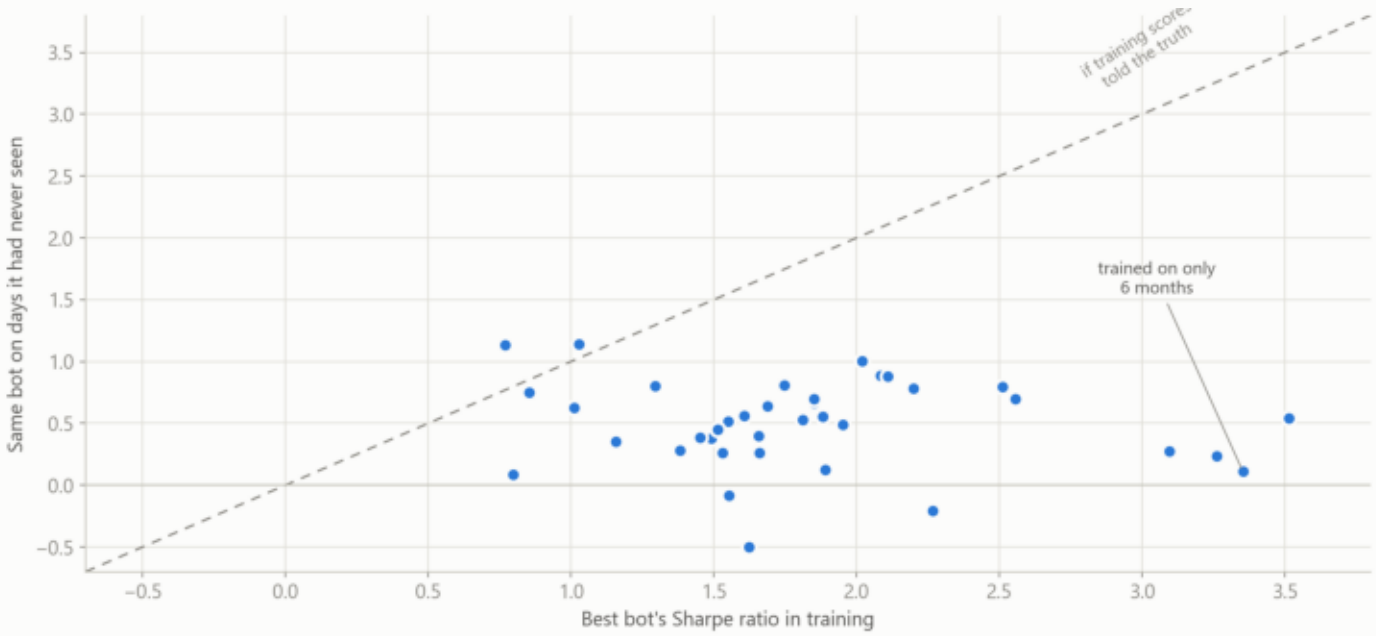
I tested 809,000 trading bots. Almost none beat simply buying and holding.

Ten years of US stock data, a live paper-trading desk, and every result judged on days the bots had never seen, after trading costs.

Here's why beating the market is so hard. >>

1. BACKTESTS FLATTER

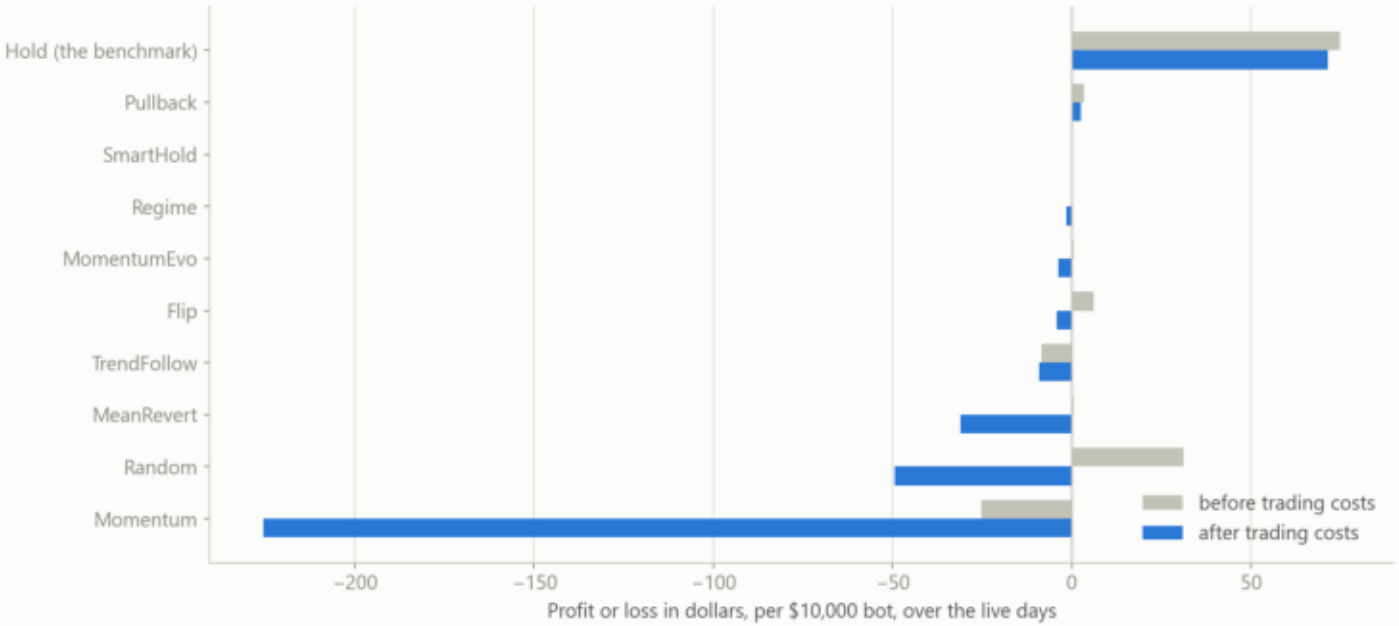
Training scores overstated the result in 36 of 39 experiments



Search through enough strategies and some fit the past by pure luck. The better the best one looks, the less that number means.

2. COSTS

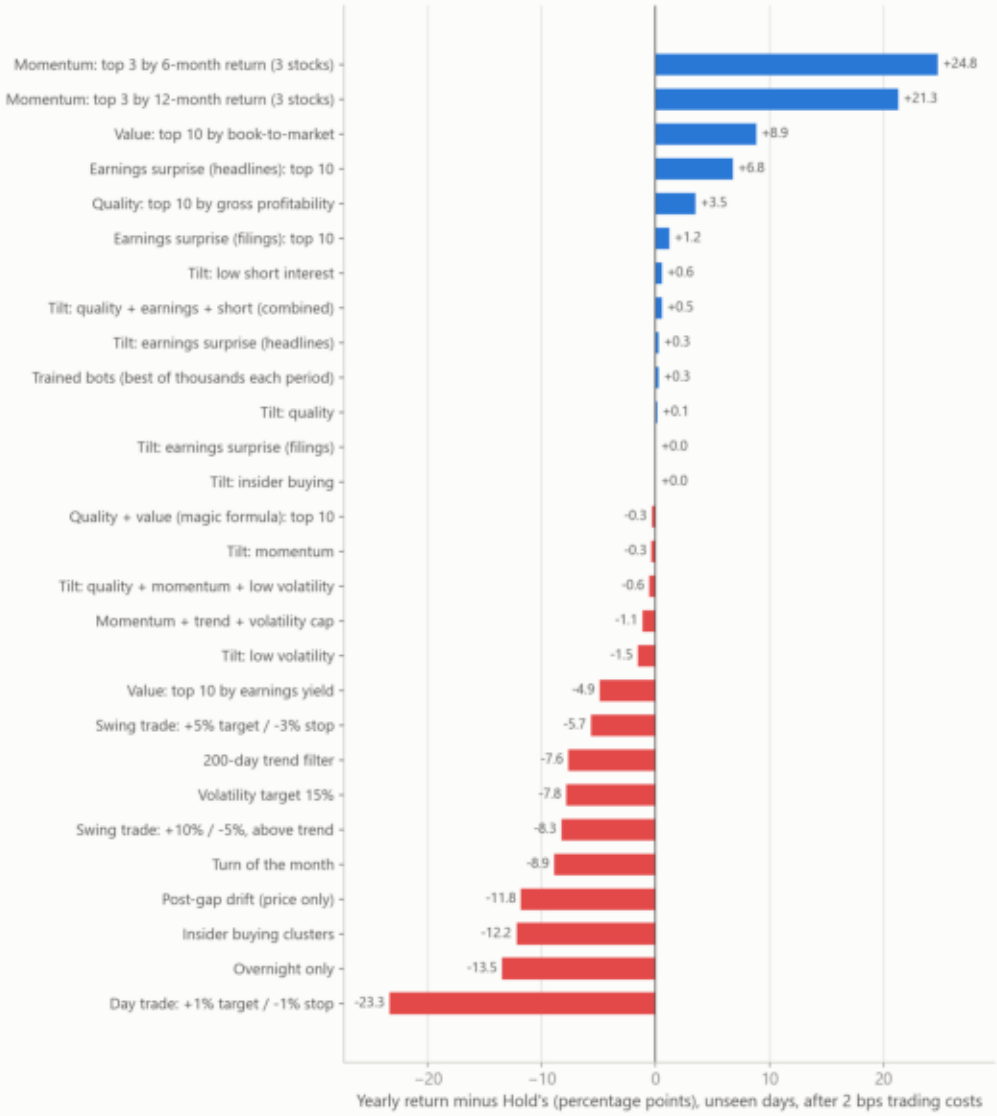
The trading bots lost almost exactly what they paid to trade



On live prices they paid $330 in spreads and lost $322. Before costs, they roughly broke even. The other side of those trades (market makers) earns the spread.

3. TEXTBOOK STRATEGIES

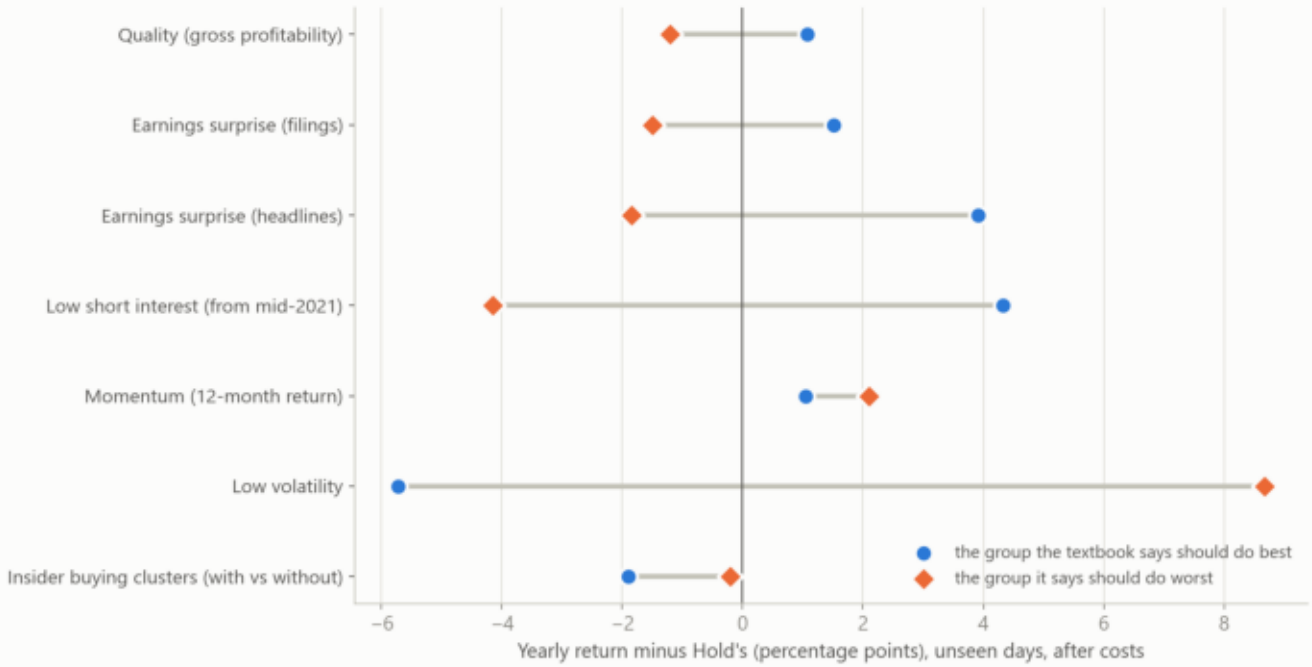
Only 11 of 28 strategies beat holding all 300 stocks



Hold earned +16.1% a year. The two biggest winners held just 3 stocks at a time and fell 54% at their worst: one lucky run, not a method.

4. SIGNALS

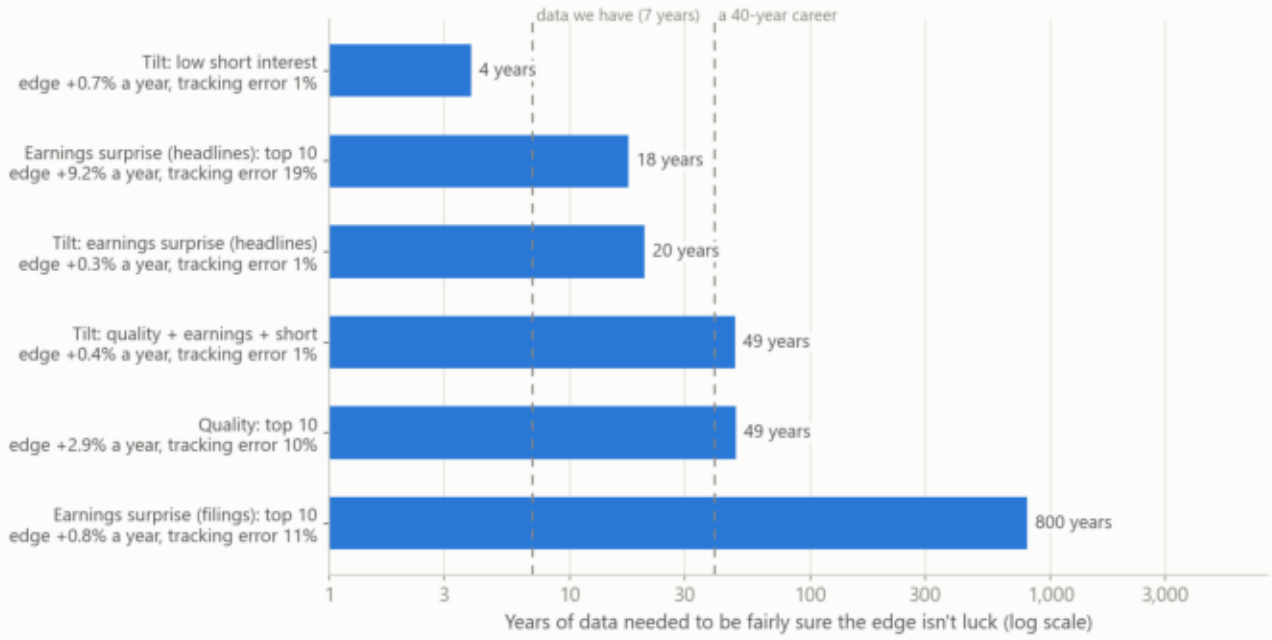
'Good' stocks didn't reliably beat 'bad' ones



Each signal splits the stocks into fifths. Several famous ones sorted them the wrong way on the years they hadn't seen.

5. TINY EDGES

The edges that survived take decades to prove



The cautious versions of the rules that passed beat holding by under a point a year. Telling that apart from luck takes decades of data, and published edges shrink once people trade them.

SO WHO MAKES MONEY?

Mostly the other side of the trade

- Market makers, who earn the spread everyone else pays
- Brokers, through commissions and order flow
- Very few day traders: in Brazil, ~97% of persistent day traders lost money; in Taiwan, under 1% were reliably profitable
- Most professional funds trail their index over 10-15 years

WHAT'S NEXT

The survivors now face the only honest test

Six frozen trackers score every surviving rule on real future days, against buy-and-hold. Their rules are fingerprinted, so nothing can be tuned after the fact.

Full write-up, interactive models and code: github.com/eganboals-dotcom/Atlas-Trading-Ai